

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

**Interconnection of Large Loads to the
Interstate Transmission System**

Docket No. RM26-4-000

**SUPPLEMENTAL COMMENTS
OF
FIRSTENERGY SERVICE COMPANY**

Pursuant to Rule 212 of the Rules of Practice and Procedure of the Federal Energy Regulatory Commission (“FERC” or the “Commission”), FirstEnergy Service Company respectfully moves for leave to submit the following supplemental comments to the Advance Notice of Proposed Rulemaking (“ANOPR”) in the captioned docket.¹ FirstEnergy submits the attached whitepaper titled *A Proven Federal Framework for a New American Problem* for the purpose of providing the Commission with additional analysis related to any proposal concerning transmission rate design in this docket.

¹ *Interconnection of Large Loads to the Interstate Transmission System*, Notice Inviting Comments, Docket No. RM26-4-000 (Oct. 27, 2025) (the Commission issued the ANOPR following a directive from the Secretary of Energy (“Secretary”) pursuant to section 203 of the Department of Energy Organization Act); see also the full text of the proposed ANOPR, *Ensuring the Timely and Orderly Interconnection of Large Loads*, Advance Notice of Proposed Rulemaking, Docket No. RM26-4-000 (Oct. 23, 2025)..

Respectfully submitted,

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Date: June 5, 2026

CERTIFICATE OF SERVICE

I hereby certify that I caused the foregoing document to be served upon each person designated on the official service list compiled by the Secretary of the Federal Energy Regulatory Commission in this proceeding.

Dated at Akron, Ohio, this 5th day of June 2026.

/s/ Amanda Parker
Amanda P. Parker
Corporate Counsel for FirstEnergy
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APPENDIX
WHITEPAPER

A Proven Federal Framework for a New American Problem

*Adapting the Natural Gas Expansion Rate
to Data Center Transmission Costs*

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The Case in Brief

American households are being asked to pay for transmission infrastructure built to serve hyperscale data centers. Under the Federal Energy Regulatory Commission's current rules, when a utility constructs new high-voltage transmission lines and substations to connect a single new data center, the cost of that infrastructure is spread across all customers in the surrounding region. Ordinary families and small businesses see their electric bills rise to support facilities that were built to serve the new data center facilities.

A generation ago, the same Commission confronted a structurally identical problem in the natural gas industry, where individual expansion projects were driving system-wide rate increases for the new expansion customers. The Commission developed a durable solution: a rate-design framework requiring the customer driving the expansion to bear the associated costs while leaving the remainder of the system unaffected.

That framework has now operated for more than twenty-five years, has been refined through numerous proceedings, and has repeatedly been affirmed by federal appellate courts.

The same framework can be adapted to electric transmission infrastructure without requiring new legislation or novel regulatory authority. Doing so would protect households from unforeseen cost shifts, provide data center developers with predictable and financeable cost structures, and preserve the conditions necessary to build the transmission infrastructure the nation urgently requires.

I. Two Industries, One Problem, Thirty Years Apart

The electric transmission cost-shift now emerging across the United States is structurally identical to a problem the natural gas industry confronted three decades ago—and one FERC already solved.

In the early 1990s, FERC confronted a recurring problem in the interstate natural gas pipeline industry. Pipeline operators routinely sought authorization to construct expansion projects and roll those costs into system-wide rates, increasing bills for all existing customers regardless of whether those customers benefited from the new facilities. In several cases, individual expansion projects raised rates by five percent or more, prompting judicial concern over “the magnitude of the projects threaten[ing] a massive shift of costs onto existing customers.”¹

¹*TransCanada PipeLines Ltd. v. FERC*, 24 F.3d 305, 308 (D.C. Cir. 1994).

The pattern was new at the time, but the principle at stake was longstanding: cost causation. Customers should pay for infrastructure built to serve them, not for infrastructure developed to serve others. Beginning with a 1995 Policy Statement establishing a five-percent materiality threshold, and culminating in its 1999 Policy Statement, the Commission moved incremental pricing from the exception to the default.² The 1999 framework explicitly embraced a “no subsidy” principle: expansion projects should be financially supported by the customers and capacity contracts driving the need for them, rather than by existing captive customers across the broader system.³

The electric transmission system today faces the same underlying challenge. A single hyperscale data center may require hundreds of millions of dollars in transmission upgrades, including new substations, network reinforcements, and high-voltage transmission facilities. Under current rolled-in ratemaking practices, those costs are often distributed across all customers in the transmission zone—even where residential households, small businesses, and industrial customers neither requested nor directly benefit from the infrastructure.

The magnitude of these costs can readily exceed the same five-percent threshold that originally triggered reform in the natural gas context.

The fact pattern is familiar. The legal authority is established. The policy rationale has already been tested.

Importantly, broad consensus already exists around the core policy principle. In March 2026, Amazon, Google, Meta, Microsoft, OpenAI, Oracle, and xAI signed the White House “Ratepayer Protection Pledge,” publicly committing to bear the costs of the power-delivery infrastructure required to support their facilities.⁴ What remains absent is a regulatory mechanism capable of implementing that commitment under existing transmission rules. FERC already possesses such a mechanism in the framework it established for the natural gas industry.

²Pricing Policy for New and Existing Facilities Constructed by Interstate Natural Gas Pipelines, 71 FERC ¶ 61,241 (1995); Certification of New Interstate Natural Gas Pipeline Facilities, 88 FERC ¶ 61,227 (1999).

³88 FERC ¶ 61,227 at 61,745–47 (1999).

⁴“Ratepayer Protection Pledge,” The White House (Mar. 4, 2026).

II. How FERC Built the Framework

FERC addressed the natural gas cost-shift problem through a deliberate and incremental policy process that ultimately reshaped expansion pricing across the interstate pipeline industry.

Its 1995 Policy Statement established a rebuttable presumption under which rolled-in treatment remained appropriate where a proposed expansion project would increase existing customer rates by no more than five percent and where demonstrable system-wide benefits existed. Above that threshold, however, the burden shifted to the pipeline operator to justify why existing customers should bear the resulting costs.

By 1999, the Commission concluded that the earlier framework did not provide sufficient protection for captive customers and formally adopted incremental pricing as the default approach for new expansion projects.⁵ The Commission articulated several core policy objectives underlying the revised framework: protecting existing customers from subsidizing expansions not built for them, fostering competitive markets, encouraging efficient infrastructure construction, avoiding unnecessary environmental impacts, and supporting economically rational customer decisions.⁶

The mechanics of the framework were straightforward. A customer seeking new pipeline capacity would execute a long-term precedent agreement obligating it to pay two distinct charges: first, its pro-rata share of the existing system rate, and second, an incremental expansion charge specifically designed to recover the costs of the new facilities required to serve that customer. Typically, these agreements operated over a fifteen-year term. At the conclusion of the term, the expansion facilities—having been fully depreciated—would roll into the broader integrated system rate.

The framework has now operated continuously for more than twenty-five years. While refined in particulars over time, its essential structure has remained intact and repeatedly survived judicial review. In recent years, federal appellate courts have reaffirmed FERC’s authority to require incremental pricing and reinforced the broader principle that expansion-related costs should follow cost causation principles rather than be imposed on existing customers who derive no corresponding benefit.^{7,8}

III. An Expansion Rate for Electric Transmission

⁵88 FERC ¶ 61,227, Docket No. PL99-3-000 (Sept. 15, 1999).

⁶Id. at 61,743.

⁷*Gas Transmission Northwest LLC v. FERC*, 157 F.4th 674 (5th Cir. 2025).

⁸*Antero Resources Corp. v. FERC*, 156 F.4th 654 (D.C. Cir. 2025).

Adapting the 1999 natural gas framework to electric transmission infrastructure would require neither statutory change nor a novel assertion of agency authority. FERC has long recognized that interconnection service is a component of transmission service, and its jurisdiction over interstate transmission rate design is well established.⁹

Under an electric transmission expansion-rate framework, a hyperscale data center seeking transmission-voltage interconnection would enter into a long-term agreement with the host transmission owner. That agreement would be filed with and reviewed by FERC under the same just-and-reasonable standard applicable to other jurisdictional transmission arrangements.

The agreement would obligate the data center customer to pay two distinct rate components. First, the customer would pay its standard pro-rata share of the existing zonal transmission rate, applying the same tariff structure applicable to all transmission customers within the zone. Second, the customer would pay an expansion rate specifically designed to recover the costs of the network upgrades required to support the interconnection.

Expansion-facility costs would be depreciated on a straight-line basis over the term of the agreement. The transmission owner's return on equity, capital structure, and debt assumptions would mirror those already embedded in the incumbent zonal transmission rate, thereby avoiding either preferential treatment or punitive pricing. To protect existing customers from residual exposure, the data center developer would also maintain creditworthy collateral support equal to the remaining unrecovered balance of the expansion facilities over the life of the agreement.

The default contract term would be fifteen years, consistent with the established natural gas model. At the conclusion of the term, the expansion facilities—having been fully recovered—would transition into the integrated system rate base.

Additional structural protections could further strengthen the framework. For example, the customer's transmission-rate contribution could be calculated based on the higher of actual demand or a minimum contractual-demand threshold, preventing cost-shifting through underutilization. Likewise, expansion-rate obligations could be reallocated annually as additional customers interconnect to the same facilities, reducing the cost burden borne by any individual participant over time.

Importantly, because the data center would separately finance the expansion facilities, its contribution to the broader zonal transmission rate would represent additional revenue supporting existing infrastructure

⁹See, e.g., *Tennessee Power Co.*, 90 FERC ¶ 61,238 at 61,761 (2000); 16 U.S.C. §§ 824d–e.

costs. In certain circumstances, that dynamic could modestly reduce rates for existing residential and commercial customers rather than merely preventing future increases.¹⁰

One legal question warrants attention. FERC has long prohibited what it terms “and pricing” — billing the same customer twice for the same transmission capacity.¹¹ The Expansion Rate framework does not raise this concern. Each customer pays its pro-rata share of the zonal transmission rate, which covers the existing system; only the data center driving the expansion pays the additional expansion rate, which covers the new facilities built to serve it.

Even read more broadly, the “and pricing” prohibition is Commission policy, not a court-imposed rule. The federal appellate courts that have addressed it have confirmed that “all transmission service... must be provided at a just and reasonable rate,” but they have not adopted a categorical rule requiring FERC to apply the prohibition.¹² The Commission can adjust the policy where circumstances warrant, as it did in the 1990s when the natural gas pipeline industry confronted a similar shift.

IV. A Framework That Works for Everyone

American Energy Consumers

Households and small businesses would no longer be required to subsidize infrastructure developed primarily to serve hyperscale facilities. Expansion costs would remain tied to the customer driving the need for the infrastructure, improving fairness and strengthening energy affordability protections.

Data Center Developers and Hyperscale Operators

Large capital-intensive projects require predictability above all else. A FERC-reviewed, long-term filed rate would provide a known and financeable cost structure from the outset, replacing uncertain ad hoc negotiations with a transparent and commercially workable framework aligned with the operational life of the facilities.

Utilities and Transmission Owners

Transmission owners are currently caught between the economic-development imperative to accommodate large new loads and the obligation to shield existing customers from resulting rate impacts. An expansion-

¹⁰The magnitude of any rate decrease depends on the relative size of the new load, cost-allocation methodologies, and the composition of the existing customer base.

¹¹*Midwest Indep. Transmission Sys. Operator, Inc.*, 85 FERC ¶ 61,372 at 62,421 (1998) (citing *Pennsylvania Elec. Co.*, 58 FERC ¶ 61,278, order on reh’g, 60 FERC ¶ 61,034 (1992), aff’d sub nom. *Pennsylvania Elec. Co. v. FERC*, 11 F.3d 207 (D.C. Cir. 1993) (“*Penelec*”)).

¹²*Penelec*, 11 F.3d at 211.

rate framework resolves that tension by providing a clear, FERC-approved path to cost recovery while protecting the existing customer base.

American Economic Competitiveness and Jobs

Data centers represent foundational infrastructure for artificial intelligence, cloud computing, financial systems, logistics, and national security applications. A predictable transmission-cost framework would encourage large-scale digital infrastructure investment in the United States, supporting construction employment, supply-chain activity, local tax revenues, and long-term technological leadership.

The Broader Energy Transition

The same transmission system serving data centers also supports renewable energy, battery storage, and broader electrification initiatives. Clarifying how large-load customers fund network upgrades would reduce interconnection bottlenecks, improve planning certainty, and accelerate investment across the broader electric grid.¹³

Conclusion

FERC already possesses the authority, policy framework, and judicial support necessary to address the emerging transmission cost-shift associated with hyperscale data centers. The Commission solved a materially identical problem in the natural gas sector more than two decades ago through an incremental pricing framework grounded in cost causation principles. Adapting that framework to electric transmission infrastructure would protect consumers, provide developers with regulatory certainty, and strengthen the nation's ability to build the modern grid required for economic growth and technological leadership. The mechanism already exists. The need is immediate. The time to apply it is now.

¹³See, e.g., Order to Show Cause, *Midcontinent Indep. Sys. Operator, Inc.*, 187 FERC ¶ 61,170 (June 13, 2024); *Central Hudson Gas & Elec. Corp. v. FERC*, 138 F.4th 531 (D.C. Cir. 2025).